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The Role of Trust in Facilitating Land Transfers and Contract Formalization: A Study of Chinese Farm Households

Dongying Xie and Mengbo Xu *

School of Economics, Jilin University, Changchun 130012, China; xiedy19@mails.jlu.edu.cn
* Correspondence: xmb@jlu.edu.cn

Abstract: Facilitating land transfers and contract standardization is crucial for optimizing farmland use and achieving high-quality agricultural development following the round of confirmation, registration, and certification of contracted rural land management rights by the government. Social trust is crucial for cracking the growth dilemma of land transfer, and the impact of farmers' trust on land transfer may also change after the round of land titling. This study aims to examine the impact of social trust on farm households' land transfer decisions and the formalization of land transfer contracts within the context of the new round of land titling in China, using models such as IV-Probit, Heckprobit, and conditional mixed process (CMP), with survey data from 2600 Chinese farmers in 2020–2021. The results show that increased social trust significantly enhances both land transfer and contract formalization, and these results remain robust after addressing potential endogeneity. Further analysis reveals that while interpersonal trust promotes land transfer, institutional trust plays a more pivotal role in the formalization of contracts. The results underscore the importance of strengthening grassroots governance to foster institutional trust, enhance institutional reliability, and support the regulated growth of the land transfer market.

Keywords: land transfer; social trust; contract formalization; interpersonal trust; institutional trust

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1. Introduction

Land transfer and large-scale operations represent a crucial means of achieving agricultural modernization [1,2], forming the foundation for developing a robust and prosperous agricultural sector. This has long been a key area of focus for government agencies and academic institutions. Implementing an adequate scale operation of land is contingent upon establishing a robust and standardized land transfer market. In recent years, national and local governments have made continuous efforts to stabilize and clarify land property rights by implementing formal systems, including separating contractual and management rights to rural land from ownership rights ('separation of three rights') and land titling, to promote the healthy development of the land transfer market. However, analysis of nationwide arable land transfer data from 2019 to 2021 reveals that the expansion of rural arable land transfer remains relatively constrained, despite the comprehensive implementation of the stability of contracted rural land management rights policy. Notably, as shown in Figure 1, there was a contraction in the total area of arable land transferred by farmers in 2020. Formal institutional reforms regarding property rights appear to be becoming less effective in facilitating land transfers. This indicates that while the rights-certification policies have somewhat stabilized land property rights, challenges persist in activating the land transfer market and promoting its standardized development, failing to meet expectations. Consequently, the question of how to further activate the land transfer market and promote its sustainable development has become an urgent issue that requires resolution.

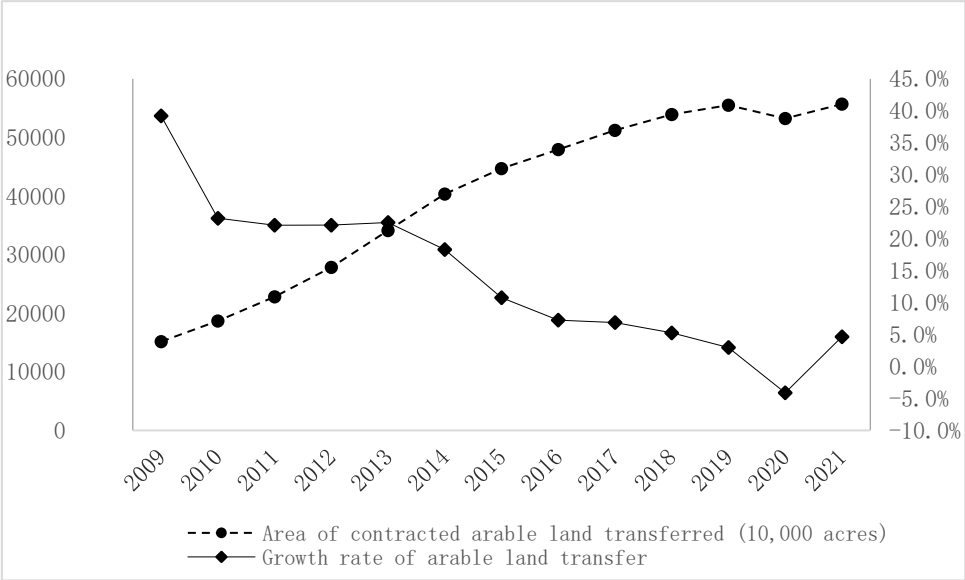

Figure 1. Transfer of arable land under family contract by farmers nationwide.

The effective implementation of the formal institution often relies on cooperation with the informal institution [3,4]. In rural societies, informal institutions can significantly enhance market functioning through spontaneous social fulfillment mechanisms, such as the behavioral norms based on traditional practices and the maintenance of interpersonal relationships and bonds of trust [5]. As members of rural society, farmers' land transfer decisions are shaped by formal institutions and significantly influenced by informal institutions, such as rural social customs and trust [6,7]. Rural society is China's primary conduit for social trust [8]. Based on social systems theory, social trust indicates confidence in counterparties' non-opportunistic behavior and is an internal evaluation of the external circumstances that lead to risk [9]. As a crucial component of social capital [10], trust has been identified as a significant contributor to rural economic development and the construction of social order [11,12]. Trust in rural societies plays a pivotal role in social governance, production, and reducing transaction costs through information sharing [13], and thus has an important impact on the standardization of land transfer decisions and market development, which is worthy of in-depth study.

Trust relationships are constantly in flux as the land transfer market transforms [14]. The formation and maintenance of trust are contingent upon the context in which they occur [15]. The "differential order pattern" is the most significant feature that elucidates the rural social relations and village community governance structure in China. This fundamental order of kinship and distance constitutes a relational rural governance system wherein kinship and geography serve as the connecting elements. As the process of modernization and marketization in rural areas continues, the traditional trust structure in rural society, based on the 'differential order pattern,' has undergone profound changes [16]. The ongoing development of the market economy and the rural-to-urban migration involving hundreds of millions of farmers and rural residents have broadened the scope of social interaction and living spaces. This expansion has diminished geographic barriers, weakening the bonds among rural community members. The depopulation of rural areas because of unprecedented migration to cities has altered the intensity and frequency of their rural residents' interactions. This process has resulted in the gradual decline of traditional mechanisms for information sharing and reputation building, profoundly affecting decision-making behavior in land transfers [17].

In this context, the social trust structure of rural society is evolving from traditional acquaintance-based trust to a more diversified and modernized system [18] characterized by the coexistence of interpersonal and institutional trust [7,19]. A substantial body of research

has already been conducted on the effects of trust on various aspects of farmers' land transfer decisions. This influence extends to various aspects, including the willingness to transfer land [7,20], the selection of the transfer object [21], the duration of the transfer [22], the form of the contract [23], the rent payable on the transfer [24,25], and the social identity of the landowner [26].

Most existing studies have primarily utilized single-year cross-sectional data collected prior to titling, focusing on the impact of trust on farmers' behavior within the context of unstable property rights and market failures. These studies usually make the assumption that farmers with higher levels of social trust will typically opt for oral contracts due to the lower transaction costs [22,27]. However, there is a paucity of research exploring the potential implications of a shift in the trust structure on contract regularization and land transfer behavior following the confirmation of farmland rights.

With the gradual progress of the policy of confirming rights, such as inventorying information on plots and registering and issuing certificates for the right to land contractual management, the risk of property rights for farmers has been significantly reduced, and the form of farmland transfer contracts has gradually transitioned to standardization [28]. The function of different contractual arrangements in the land transfer market varies [29,30]. Compared to oral contracts, written contracts are more effective in delineating the responsibilities of the parties involved in a land transfer [31], thereby reducing the potential for disputes [32]. The standardization of contracts not only facilitates the improvement of contract quality but also ensures the effective protection of the rights and interests of both parties in land transfer through clear and precise terms and legal basis [33]. A series of policies implemented by the state and local governments have not only stabilized property rights but also actively encouraged farmers to sign written contracts, thereby reducing potential disputes during land transfers [34]. Nevertheless, despite the observed increase in written contracts, as of 2021, only 47.1 percent of land transfers nationwide had written contracts [28], which remains far from the level of long-term stability required for agricultural modernization. In response to the slow pace of development in the regulated land transfer market, the government has also been advocating for the standardization of contracts to promote the healthy development of the land transfer market. Therefore, understanding the specific role of social trust in land transfer behavior and contractual choices in this context is particularly important. Compared to relying on the promotion of formal institutions, this perspective can compensate for its limitations, offer a more comprehensive understanding of the complexity of the current land transfer market, and provide new solutions to the challenges it faces.

While existing studies have extensively explored the impact of trust on land transfers, they have predominantly focused on how trust affects transaction costs and farmers' contractual choices, particularly regarding rents, the risk of default, and terms. These studies have largely overlooked the influence of changes in the trust system on the activation of the land transfer market and the process of contractual regularization following rights confirmation.

This paper utilizes data from the 2020–2021 China Land Economy Survey (CLES), which was conducted with Nanjing Agricultural University's assistance, to comprehensively examine the influence of social trust on farmers' land transfer decisions and contract-signing behaviors in the context of rights confirmation. It differentiates between interpersonal and institutional trust to investigate the distinct roles these forms of trust play in land transfer contracts and their implications [35]. This analysis offers a novel perspective on the standardized development of the land transfer market and provides policy recommendations for enhancing the quality and standardized development of land transfer contracts, considering the impact of rights confirmation policies on changes in the trust structure.

The research presented in this paper contributes to the theoretical framework of social trust in the land transfer market and provides a vital theoretical foundation and empirical evidence for the development of a healthy and sustainable land transfer market, along with the formulation of effective market policies.

2. Research Hypotheses

Within the framework of secure property rights, trust—an essential component of informal institutions—can diminish the communication barriers and the inclination towards opportunistic conduct in resource exchanges between rural residents in the villages. This, in turn, facilitates the efficient distribution and circulation of inter-organizational resources, promoting land transfer and positively influencing rural economic growth and the establishment of social order [12]. In particular, social trust can alleviate information asymmetry and reduce farmers' concerns about potential opportunistic behavior, thereby reducing the transaction costs associated with land transfer [20,22,36]. Referring to Figure 2, under the condition of market clearing, i.e., when there are no transaction costs in land transfer, the demand and supply curves of land transfer intersect at point O, and the transaction size is Q_1. However, the transaction cost is still unavoidable in the actual market even without risk factors such as blurred property rights boundaries. It forms a "wedge effect" between the supply and demand curves of land transfer, leading to the actual market transaction size Q_1 and the actual market transaction size Q_1. However, even without risk factors such as blurred property boundaries, transaction costs remain inevitable, creating a "wedge effect" between the supply and demand curves in the land transfer market. This effect reduces the actual market transaction size to Q_3. Social trust in the land transfer market functions to diminish information asymmetry, leading both parties to believe that the other will not act opportunistically to undermine their interests. As a result, there is less need to repeatedly verify the authenticity of information before the transaction or take precautionary measures against default. Trust can effectively reduce market transaction costs and improve market efficiency.

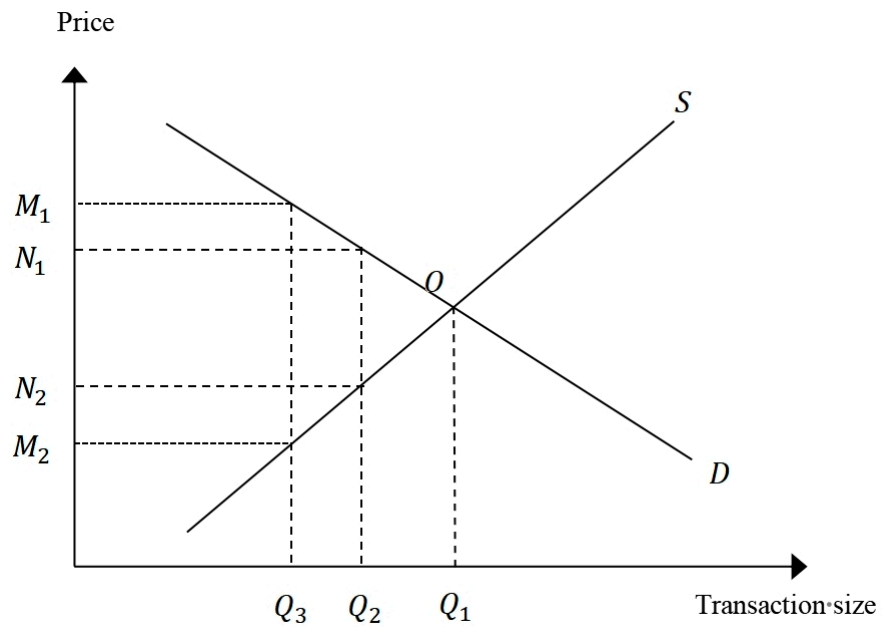

Figure 2. Social trust and land transfer transaction costs.

Based on social systems theory, social trust could be distinguished into interpersonal trust and institutional trust [9]. Interpersonal trust is founded on interpersonal communication and emotional bonds [37]. These typically emerge from interactions within the contexts of blood relationships and geographical closeness. Institutional trust encompasses the confidence placed in the established norms, conditions, and rules set forth by authoritative bodies, organizations, and individuals tasked with ensuring their enforcement [38]. Interpersonal trust curbs opportunistic behaviors among village members by means of emotional connection and reputation mechanisms [20]. Meanwhile, institutional trust exerts an impact on farmers' behaviors by augmenting the stability of property rights and

the anticipation of appropriate dispute resolution. Although the objects and generation mechanisms of interpersonal trust and institutional trust differ [18], both interpersonal trust and institutional trust serve to facilitate the ability of both parties involved in a transaction to have greater confidence in reaching a mutually satisfactory resolution at a reduced cost in the event of potential disputes. It can be reasonably deduced that while social trust cannot eliminate the transaction costs incurred due to information asymmetry in land transfer, it can effectively reduce some of these costs. The demand for agricultural land is diverse, while farmers primarily supply the transfer of arable land. The land transfer market typically demonstrates a scenario where demand exceeds supply. To streamline the analysis, this paper focuses exclusively on the impact of social trust on the supply side of agricultural land. As illustrated in Figure 1, an increase in social trust reduces the transaction costs of land transfer from the initial range of M_1-M_2 to N_1-N_2, While the transaction size expands from Q_3 to Q_2. Based on this analysis, the following hypothesis is proposed:

H1. *An increase in the level of social trust will promote farmers' decisions to transfer their land.*

Contract regularity is a crucial condition for the healthy development of the land transfer market. It requires the legality, fairness, clarity, and completeness of the contract entered into by the parties to the transaction. In recent years, the government has adopted several policy reforms aimed at improving the stability of property rights, the most important of which include securing the land rights of contracted farmers and limiting the residual control of the government and village collectives over land, thereby alleviating to some extent the problem of incomplete contracts under the original contract system, which incomplete contracts often lacked restrictions on the conditions necessary for land transfers. Overall, the current formal system has provided farmers with relatively complete rights over farmland, significantly improved the stability of property rights, and clarified the legal and regulatory basis for land transfer disputes, which has gradually reduced the transaction risks faced by farmers in transferring land and formed a higher institutional trust, thus increasing the possibility of adopting written contracts [39,40]. The enhanced stability of property rights solves the worries of land transfer by non-acquaintances. The higher the institutional level of farmers, the more willing they are to believe in the constraints of formal systems, laws, and regulations on opportunistic behavior. Compared to oral contracts, written contracts have greater legal force and security, which help to reduce speculative behavior and opportunistic tendencies [28,41]. To further regulate the development of the land transfer market, the government also actively advocates and promotes the standardization of land transfer contracts and gradually reduces the gap in signing costs between written and oral contracts through policy guidance. In this context, farmers with higher social trust, especially the higher institutional trust, are more likely to respond to the government's call and are more inclined to adopt the form of written contracts, thus reducing resistance in the process of signing contracts. In this context, the benefits of written contracts in land transfer are further emphasized. Increasing social trust increases farmers' confidence in the counterparty's ability to perform and reduces their concerns about the risks of signing a formal contract. Social trust is important in promoting the written form of land transfer contracts and reducing transaction risks. Therefore, based on the above analysis, this paper proposes research Hypothesis H_2:

H2. *An increase in the level of social trust increases the probability of a written contract for the transfer of a farmer's land.*

3. Data and Model Specifications

3.1. Data Sources

The data presented in this paper were derived from the 2020–2021 questionnaire survey data of the China Land Economy Survey (CLES), conducted with Nanjing Agricultural University's assistance. The survey employed a stratified random sampling methodology, encompassing 13 prefecture-level cities in Jiangsu Province. This approach involved selecting two counties from each city, two villages from each county, and randomly choosing 50 farm households from each village. This resulted in 26 counties, 52 administrative villages, and 2600 farm households. To control for village-level characteristic variables, this paper matches and merges the village-level questionnaires with the farm household questionnaires, thereby forming a complete sample dataset. The data are highly relevant to the hypotheses.

3.2. Variable Selection

3.2.1. Dependent Variables

- (1) Land Transfer-Out:

The dependent variable in this study is whether farmland has been transferred out. Following the approach of prior research by He Ke et al. (2015) [42] and Ji Yueqing et al. (2021) [43], the transferees of farmland may include not only local farmers but also external entities such as agricultural enterprises or other economic organizations, which are not easily captured comprehensively in household surveys. However, due to the legal stipulations of rural land contracting in China and the immobility of land, the land transfer-out parties are invariably local farmers. Therefore, this study uses the transfer-out of farmland as an indicator of land transfer activity.

- (2) Formalization of Land Transfer-Out:

This dependent variable is measured by whether a written contract was signed during the land transfer. Specifically, the signing of a written contract is treated as a binary variable. If the response to the survey question "area of contracted land transferred with a written contract" is zero, the variable is assigned a value of 0. Conversely, if the transferred area is greater than zero, the variable is assigned a value of 1.

3.2.2. Independent Variables

This paper's core explanatory variable is social trust, derived from studies by He Ke et al. (2015) [42] and Zhou Haiwen and Zhou Haichuan (2019) [24]. These studies categorize social trust into two dimensions: interpersonal trust and institutional trust. The overall social trust variable is constructed by summing up and averaging the interpersonal and institutional trust indicators. The interpersonal trust indicator encompasses two sub-dimensions: trust in relatives and trust in neighbors. The institutional trust indicator primarily assesses the extent of trust that farmers place in village collectives, which is often characterized by their trust in village cadres. This paper utilizes questions from the "Village Governance" module of the farmer questionnaire to evaluate interpersonal trust and institutional trust. The questions are as follows: "How much trust do you have in relatives, neighbors, and village cadres? 1 = very little trust; 2 = little trust; 3 = average; 4 = somewhat trust; 5 = much trust."

3.2.3. Control Variables

In line with the findings of previous studies [12,44], this paper considers four levels of control variables: individual, household, village, and farmland. Given that farmland transfers are generally decided at the household level, this study has selected a sample of respondent farmers who are both the head of the household and the decision-maker. Consequently, the characteristics of the head of the household have been identified as an individual-level control variable. Individual characteristic variables encompass age, gender, educational attainment, health status, whether or not the household head is a

member of the Communist Party, total non-farm income, and whether or not the household head has received training in agricultural skills. The variables of household characteristics encompass the number of individuals residing in the household, the number of agricultural workers, and the number of agricultural machines. The village characteristic variables are primarily comprised of topographic features and the distance from the village council to the county town. The farmland characteristic variables include whether the farmland was affected and the rights were certified. Table 1 shows the descriptive statistics of the main variables.

Table 1. Description of variables and statistics.

Variable	Definitions	Mean	Std. Dev.	Min	Max
transfer_out	Whether the land was transferred out (1 = yes; 0 = no)	0.605	0.489	0.000	1.000
contract	Whether a written contract was signed for the transfer of land (1 = yes; 0 = no)	0.819	0.385	0.000	1.000
trust	Social trust index (1 = very distrustful; 2 = quite distrustful; 3 = average; 4 = more trusting; 5 = very trusting)	4.101	0.672	1.000	5.000
interpersonal trust (Ptrust)	Summed average of trust in relatives and trust in neighbors	4.249	0.780	1.000	5.000
Institutional trust (Ins_trust)	Level of trust in village cadres	4.048	0.813	1.000	5.000
age	Age of household head (year)	62.713	9.792	35.000	82.000
gender	Gender (1 = male; 0 = female)	0.941	0.235	0.000	1.000
edu	years of schooling	7.316	3.541	0.000	15.000
health status	Self-identified health status (1 = incapacitated; 2 = poor; 3 = moderate; 4 = good; 5 = excellent)	3.975	1.068	1.000	5.000
party membership	1 = yes; 0 = no	0.303	0.459	0.000	1.000
income	Gross non-farm payroll (logarithmic)	5.234	5.150	0.000	12.206
agritech	Have education or training in agricultural technology (1 = Yes; 0 = No)	0.274	0.446	0.000	1.000
family size	Number of permanent household residents (persons)	3.145	1.636	0.000	11.000
agricultural labor	Number of family laborers engaged in agriculture	1.400	1.026	0.000	7.000
machinery number	Amount of agricultural machinery owned by households	0.503	1.389	0.000	9.000
topographical features	Topographical features of the village (1 = plain; 2 = hilly)	1.131	0.337	1.000	2.000
distance	Distance from village council to county town (km)	20.527	14.748	2.000	90.600
land tenure	Whether arable land is certified (1 = yes; 0 = no)	0.936	0.245	0.000	1.000
disaster	Whether arable land is affected (1 = yes; 0 = no)	0.111	0.314	0.000	1.000

3.3. Model Construction

This paper aims to examine the impact of social trust on land transfer and formalization. To this end, this study empirically estimates the probit model in conjunction with the data characteristics, as the explanatory variables are binary discrete variables. The model is as follows:

$$Prob(transfer_out_{it} = 1|trust_{it}, X_{it}) = \alpha_0 + \alpha_1 trust_{it} + \alpha_3 X_{it} + \varepsilon_{it} \quad (1)$$

$$Prob(contract_{it} = 1|trust_{it}, X_{it}) = \beta_0 + \beta_1 trust_{it} + \beta_2 X_{it} + \mu_{it} \quad (2)$$

The subscript i denotes the ith farm household family, and t denotes the year. $transfer_out_{it}$ denotes whether the farm household transfers land; $trust_{it}$ denotes the level of social trust of the farm household; $contract_{it}$ denotes whether the farm household signs a written contract when transferring farmland; α_1, β_1 denote the corresponding coefficients to be estimated; X_{it} denotes the control variables affecting the land transfer and its normalization; α_0, β_0 are constant terms; ε_{it}, μ_{it} are random disturbance terms.

Whether or not farmers sign a written contract is characterized by different phases: the first phase is deciding whether or not to transfer, and the second phase is deciding

whether or not to sign a written contract to transfer. Only when farmers decide to transfer their land can their behavior about signing a written contract be further observed. Given this, the Heckman two-stage choice model is further constructed to avoid self-selection and other endogeneity problems:

$$contract_{it}^{*} = \beta x_{it}^{'} + \mu_{it} \tag{3}$$

Equation (1) can be seen as the first stage selection equation, and Equation (3) is the outcome equation. $contract_{it}^{*}$ is an unobservable latent variable; $contract_{it}^{*}$ can be observed only if $transout_{it} = 1$ (i.e., $contract_{it}$ = 1). $x_{it}^{'}$ is the observed matrix of factors influencing farmers to sign a written contract.

4. Empirical Results

4.1. Baseline Results

The regression results are presented in Table 2. Column (1) presents the baseline model, which examines the relationship between social trust and land transfer. Columns (2) to (4) control for individual, household, village, and farmland characteristic variables in that order. Equation (5), on the other hand, is the result of the marginal effects calculated based on column (4). The effects of social trust on land transfer in Columns (1)–(4) all passed the significance test at the 1% level, highlighting the crucial role of social trust in farmers' decisions to transfer land. Specifically, as farmers' social trust increases, the likelihood of choosing land transfer also rises. Hypothesis H_1 is supported. In addition, the marginal effect of social trust is 4.09%, which means that other things are equal. For each one-level increase in farmers' social trust, the probability of land transfer rises by 4.09%. This finding further supports the positive impact of social trust on farmers' decisions regarding land transfer.

The results of the other control variables are consistent with previous studies, and the interpretation of the regression coefficients in this paper primarily relies on the findings from column (4) in Table 2. Regarding individual characteristics, the age and educational level of the household head, along with total non-farm income, significantly influence farm households' decisions to engage in land transfers. In particular, the probability of transferring agricultural land increases with the age of the head of the household. One possible explanation is that the average age of the household heads in the sample is 62 years, and the older the household head, the more likely he or she is to transfer off the land due to energy and physical limitations, with the absence of older children present on farms to assist parents in farm work because the children are off working in the cities, leaving the parents for both farm work and younger children childcare. Educational attainment significantly increases the likelihood of farm households migrating off the land to the cities to work and live. Household size, the number of farm workers, and farm mechanization among the household-level characteristic variables also significantly impact the likelihood of farmers transferring out of agriculture. A greater number of agricultural workers in the household and a higher level of agricultural human capital significantly reduce the probability of land transfer. Additionally, the number of agricultural machines owned by a household is negatively associated with the likelihood of land diversion. This is consistent with previous research suggesting that asset specialization value increases land productivity and land endowment, thereby reducing the likelihood of land diversion by farm households.

This paper examines the impact of trust on the formalization of land transfers, specifically the signing of written contracts. Column 6 of Table 2 presents the results of estimating the probit model, with the dependent variable being whether or not a written contract is signed (marginal effect). The results demonstrate a positive correlation between the level of social trust and signing written contracts for land transfer, with a statistical significance of 5%. When other factors are held constant, the probability of signing a contract when a farmer transfers land increases by 2.65 percentage points for each unit increase in social trust. This supports the Hypothesis H_2.

Table 2. Basic results: the impacts of trust on farmland transfer-out and written contracts.

	Transfer_Out					Contract
	(1)	**(2)**	**(3)**	**(4)**	**(5)**	**(6)**
trust	0.083 ***	0.099 ***	0.131 ***	0.132 ***	4.09% ***	2.65% **
	(0.028)	(0.037)	(0.038)	(0.041)	(0.012)	(0.013)
age		0.022 ***	0.018 ***	0.016 ***	0.51% ***	0.033%
		(0.003)	(0.003)	(0.003)	(0.001)	(0.001)
gender		0.017	0.218 **	0.120	3.74%	7.42% *
		(0.106)	(0.111)	(0.116)	(0.036)	(0.039)
education level		0.019 **	0.020 **	0.022 **	0.68% **	0.45%
		(0.008)	(0.008)	(0.009)	(0.003)	(0.003)
health status		−0.060 **	−0.030	−0.022	−0.67%	1.14%
		(0.025)	(0.026)	(0.028)	(0.009)	(0.009)
party membership		0.111 *	0.024	0.009	0.27%	5.19% **
		(0.057)	(0.059)	(0.063)	(0.020)	(0.021)
income		0.043 ***	0.024 ***	0.027 ***	0.83% ***	−0.09%
		(0.005)	(0.006)	(0.006)	(0.002)	(0.002)
agritech		−0.096 *	0.065	0.011	0.35%	0.686%
		(0.055)	(0.059)	(0.062)	(0.019)	(0.007)
family size			0.031 *	0.035 **	1.08% **	−1.98% *
			(0.017)	(0.018)	(0.005)	(0.010)
agricultural labor			−0.422 ***	−0.431***	−13.4% ***	−3.85% ***
			(0.029)	(0.031)	(0.009)	(0.015)
machinery number			−0.174 ***	−0.154 ***	−4.77% ***	−8.25%
			(0.027)	(0.027)	(0.008)	(0.081)
topographical features				0.388 ***	12.0% ***	−0.62% **
				(0.085)	(0.026)	(0.003)
distance				0.005 ***	0.16% ***	0.69%
				(0.002)	(0.001)	(0.007)
Land tenure				0.472 ***	14.7% ***	2.26%
				(0.114)	(0.035)	(0.042)
disaster				−0.855 ***	−26.5% ***	−5.73%
				(0.093)	(0.027)	(0.041)
Constant	−0.075	−1.661 ***	−1.177 ***	−1.907 ***		
	(0.117)	(0.284)	(0.299)	(0.361)		
Observations	4531	2716	2714	2624	2624	1468
Pseudo R^2	0.001	0.032	0.124	0.178		

Notes: Robust standard errors are in parentheses, *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

4.2. Endogenous Problem

To address the endogeneity issue within the model, this paper draws upon existing research and employs the instrumental variable approach. The instrumental variable is the average level of social trust among farmers outside the village household. This selection is based on two key considerations. Firstly, the cohort effect within the village ensures a relatively consistent socio-economic and cultural environment. As an integrative social capital, trust has significant externalities within the village [45,46]. It displays specific characteristics of public goods, facilitating information sharing and reducing transaction costs. It can be reasonably inferred that the trust level of other farmers in the village is correlated with that of the sample farmers. Furthermore, the social trust level of other farmers in the same village will not directly influence households' decision to transfer their land, which meets the requirement of exogeneity of instrumental variables. Consequently, this paper adopts 'the average trust level of other households in the village' as an instrumental variable to solve the endogeneity problem.

Since the dependent variable is binary and the independent variables are discrete, this paper uses a two-stage IV-Probit model for estimation. The results are shown in Table 3, columns (1) and (2). The exogeneity test yielded a value of 10.11, which rejected the original hypothesis at the 1% significance level. This suggests that the explanatory variables are endogenous and that the instrumental variables have significant explanatory power. In the initial regression stage, the F-test yielded a value of 6.74, which rejected the original hypothesis at the 1% significance level. This indicates a significant relationship between the instrumental variable and the endogenous variable. Meanwhile, the instrumental variables rejected the original hypothesis of the weak instrumental variables test at the 1% significance level, indicating that the selected instrumental variable is valid. Once the endogeneity problem was solved, the level of social trust was still found to have a positive and significant influence on farmers' decisions to transfer farmland, thereby providing further evidence that trust is a critical driver in the transfer of farmland.

Table 3. Addressing endogeneity: the impacts of trust on land transfer-out.

	IV-Probit_1	**IV-Probit_2**	**CMP_1**	**CMP_2**	**Probit**	
	(1)	**(2)**	**(3)**	**(4)**	**(5)**	**(6)**
trust		1.287 ***		0.385 ***	0.130 ***	0.101 **
		(0.419)		(2.95)		
IV_trust	0.633 ***		0.635 ***			
	(0.111)		(5.94)			
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
risk preference					0.026	0.112 **
					(0.049)	(0.056)
time preference					−0.074 *	−0.032
					(0.039)	(0.044)
Village-fixed						√
Constant		−6.110 ***	1.090 **	−1.318 ***	−1.746 ***	−1.256
		(1.571)	(2.37)	(−2.74)	(0.392)	(0.773)
F-test	6.74 ***					
exogeneity test		10.11 ***				
weakiv test		9.43 ***				
atanthrho				−0.509 ***		
				(−2.86)		
Observations	2624	2624	2782	2782	2537	2501

Notes: Robust standard errors are in parentheses, *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

In order to further validate the robustness of trust to land transfer outcomes, this paper selects the conditional mixed process (CMP) estimation model for the regressions. The CMP approach corrects for endogeneity bias in discrete variables by constructing a system of recursive equations based on the likelihood of non-correlation regressions [47]. Column (3) of Table 3 shows that the first-stage estimation of the CMP reveals a significant positive effect of the instrumental variables on social trust. This evidence supports the conclusion that the instrumental variables are correlated. The endogeneity test parameter atanhrho_12 is statistically significant, indicating the presence of an endogeneity problem in the model estimation. Column (4) of Table 3 further indicates that after correcting for the endogeneity problem, the level of social trust still significantly affects the decision of farmers to transfer their farmland, thereby verifying the reliability of the empirical results.

Furthermore, this paper mitigates the potential for bias due to omitted variables by controlling for as many relevant variables as possible. As demonstrated in column 5 of Table 3, the risk preference and time preference of farmers are incorporated as control variables [48]. The regression results indicate that social trust continues to influence farmers' decisions regarding the transfer of their farmland, with a statistical significance of 1%, broadly consistent with the findings of the base regression. In Table 3, column (6), the regression is augmented with the inclusion of village fixed effects. Although some village characteristic variables were previously controlled for, village-fixed impacts were not

included, which may have introduced some bias into the empirical results. In line with the approach outlined by He Ke et al. [42], this study employs dummy variables representing village characteristics to be incorporated into the regression model, thereby accounting for village-fixed effects. The findings indicate that, even after controlling for these village-level factors, the influence of social trust on farmland transfer remains statistically significant.

To examine the impact of trust on the signing of written contracts for land transfers, this paper employs a Heckprobit two-stage selection model, which can overcome potential endogeneity issues. The parameter athrho is significant in columns (1) and (2) of Table 4, indicating the presence of a sample selectivity bias in the regression between social trust and the decision to sign a contract. In light of this, the Heckprobit two-stage model to address the endogeneity problem is reasonable and applicable.

As demonstrated in column (2) of Table 4, the level of social trust significantly positively influences the decision to sign a written contract once self-selective bias in land transfer decisions has been considered. In particular, an increase in one level in social trust is linked to a 3.71 percentage point rise in the likelihood of a farmer signing a written contract. To further test robustness, the dependent variable is also replaced with the ratio of land transferred to the signed contract area to the total transferred area. The Heckman two-stage selection model is then used to continue the estimation. The results are consistent with those of Column (2), indicating that when other factors remain conditionally unchanged, a one-level increase in social trust will result in a 3.4 percentage point increase in the area ratio under a signed written contract. This result demonstrates that the impact of social trust on the signing of written contracts remains robust even after addressing the endogeneity.

Table 4. Addressing endogeneity: the impacts of trust on written contracts.

	Heckprobit		**Heckman**
	Edge-1: Transfer_Out (1)	**Edge-2: Contract (2)**	**Edge-2: Contract Area (3)**
trust	0.121 ***	3.71% ***	0.034 **
	(0.046)	(0.012)	(0.015)
agritech1	−0.138 ***		
	(0.050)		
Other Control variables	Yes	Yes	Yes
Constant	−1.177		0.706 ***
	(0.762)		(0.205)
athrho	12.896 ***		
	(0.225)		
inverse Mills ratio (λ)			−0.957 ***
			(0.054)
Village-fixed	Yes		Yes
Observations	2584		2584

Notes: Robust standard errors are in parentheses, *** $p < 0.01$, ** $p < 0.05$; column (3) has the same first-stage estimates as column (2), so it is omitted.

4.3. Robustness Tests

This paper presents the results of robustness tests conducted in four key areas. These tests were conducted to ensure the reliability and validity of the estimation results and conclusions, with details provided in Table 5.

Table 5. Robustness tests: trust and farmland transfer-out.

	Land Transfer Rate	Heckman	Logit	Largest Plot	95 Percent Reduction
	(1)	(2)	(3)	(4)	(5)
trust	0.035 ***	0.030 **	0.223 ***	0.101 **	0.132 ***
	(0.012)	(0.015)	(0.068)	(0.040)	(0.041)
Control variables	Yes	Yes	Yes	Yes	Yes
Constant	0.098	0.403 **	−3.325 ***	−1.475 ***	−1.945 ***
	(0.133)	(0.165)	(0.602)	(0.358)	(0.365)
athrho		1.123 ***			
		(0.260)			
Observations	2618	2701	2624	2624	2624
Pseudo R^2			0.177	0.199	0.189
R^2	0.225				

Notes: Robust standard errors are in parentheses, *** $p < 0.01$, ** $p < 0.05$.

4.3.1. Replacement of Core Explanatory Variables

Drawing on existing studies [42,44] to replace the core explanatory variables and using the ratio of the area of farmland transferred out to the total area of arable land contracted by farmers (i.e., the land transfer rate), the estimation was conducted again. Table 5, column (1), shows that higher social trust significantly increases the land turnover rate, with results significant at the 1% level. Moreover, the land transfer behavior of farmers who have not transferred their land is unobservable, which may lead to potential sample self-selection and endogeneity issues. To address this, the paper uses the Heckman two-step model to mitigate endogeneity and prevent biased estimation results. The parameter athrho in column (2) of Table 5 indicates a selection bias between the land transfer rate and social trust. After addressing the endogeneity concern, the regression results in column (2) of Table 5 align with those in column (1) and the basic regression results, substantiating the robustness of the research conclusions.

4.3.2. Replacement of Estimation Method

We replace the estimation method to perform the regression results' robustness test again. Specifically, using the logit model for the regression, the results are shown in column (3), Table 5. Social trust still positively affects the transfer of agricultural land at the 1% statistical level, aligning with the baseline model and further validating the robustness of the paper's conclusions.

4.3.3. Replacement Sample Selection Range

We choose whether the largest plot of family-contracted land is transferred out as the dependent variable and whether the largest plot of family is transferred out as the sub-sample of family transfer out and examine the impact of the level of social trust on whether the largest plot of family-contracted land is transferred out as a sub-sample from the plot level. Table 5, column (4), shows that social trust promotes the turning out of the largest household plot at the 5 percent significance level.

4.3.4. Removal of Outliers

To prevent extreme values from causing distortionary effects in the regression results, regressions are re-run after shrinking all control variables by 95%. The regression results of Table 5 are consistent with the benchmark regression, as shown in column (5).

5. Further Analysis

This paper builds on previous research by examining the influence of diverse trust dimensions on land transfer and written contract signing. The aim is to gain a deeper understanding of the role of trust in developing land transfer markets. Table 6, column (1),

presents the regression results for the effects of farmers' interpersonal trust and institutional trust on their farmland transfer decisions. Notably, interpersonal trust has a marginal effect of 2.12% on land transfers at the 1% level significantly. In other words, holding all other variables constant, the probability of a farmer engaging in land transfer activities increases by 2.12 percentage points for each unit increase in interpersonal trust. Increased trust in kin or neighbors may be posited as reducing the information asymmetry inherent to the transaction and uncertainty regarding potential future risks and transaction search costs. Forming emotional identity in long-term interactions facilitates deal-making, facilitated by kinship and geographic ties, which remain an essential bond for farmers to cooperate [42]. Column (2) of Table 6 demonstrates that institutional trust does not significantly affect land transfer, indicating that institutional trust currently plays a limited role in general farmland transfer, and interpersonal trust plays a more positive and significant role. Despite the marketization process having, to some extent, promoted changes in rural informal institutions, interpersonal relationships still assume an important role in rural China.

Table 6. The results of further analysis.

	Transout		**Contract (Heckprobit-2)**		**Contract Area (Heckman-2)**	
	(1)	**(2)**	**(3)**	**(4)**	**(5)**	**(6)**
ptrust	2.12% ***		2.11%		0.023	
	(0.010)		(0.0196)		(0.014)	
Ins_trust		1.46%		3.54% ***		0.035 ***
		(0.009)		(0.013)		(0.013)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
athrho			0.166	15.037 ***		
			(1.023)	(0.243)		
inverse Mills ratio (λ)					−0.956 ***	−0.958 ***
					(0.054)	(0.054)
Observations	2580	2580	2583	2583	2583	2583

Notes: Robust standard errors are in parentheses, *** $p < 0.01$.

Column (3) of Table 6 indicates that the influence of farmers' interpersonal trust on their decision to sign a written deed at the time of land transfer is not statistically significant. In contrast with the findings of existing studies, this paper does not find that an increase in the level of interpersonal trust significantly enhances the propensity of farm households to choose an oral contract at the time of land transfer. Two potential explanations for this finding emerge. Firstly, deepening contract governance in rural areas reduces the transaction costs of signing a written contract [40]. The cost gap between choosing an oral contract or a written contract is narrowing. Consequently, adopting a written contract between acquaintances with high interpersonal trust becomes a more viable option. Secondly, as marketization and urbanization advance, the increasing population mobility broadens the scope of social interaction and leads to a reduction in social cohesion among acquaintances [49]. The insufficient interaction between the two parties involved in land transfer transactions challenges the foundation of interpersonal trust [50]. This, in turn, lessens the social significance of trust relationships and curtails interpersonal trust's role in lowering the transaction costs associated with the choice of contractual form among farm households [51]. Therefore, the effect of increased interpersonal trust on farmers' choice of written or oral contracts is no longer significant.

Column (4) of Table 6 shows that institutional trust positively and significantly impacts the likelihood of farm households signing written contracts for farmland transfer at a 1% level. Specifically, a one-unit increase in trust in village cadres is associated with a 3.54 percentage point increase in the probability of signing written contracts for agricultural land transfer, holding all else constant. An increase in institutional trust can effectively promote the formalization of land transfer contracts, thereby facilitating the standardized

development of the land transfer market. Table 6, columns (5) and (6), employ a different dependent variable: the ratio of contracted land area to total transferred area. The results remain essentially unchanged from columns (3) and (4), where institutional trust still significantly increases the ratio of the area of land transferred by farmers to signed written contracts at the 1% statistical level. This provides further evidence of the robustness of the results. In contrast to the restricted and diminished role of interpersonal trust, clear property rights and marketization have enhanced and highlighted the importance of institutional trust. In standardized farmland transfer transactions, the role of institutional trust is increasingly significant since the trust in the institution can dispel farmers' misgivings about unfamiliar trading counterparts. These findings serve to enrich the understanding of the multifaceted role of trust in the land transfer market, especially when considering the backdrop of labor migration, the marketization of land transfers, and the continuous process of property rights clarification. They also offer valuable insights for advancing the standardization of land transfer practices.

6. Conclusions and Policy Implications

6.1. Conclusions

This paper investigates the impact of social trust on the decision-making of farm households to transfer land based on the 2020–2021 China Land Survey farm household panel data. It considers the standardization of land transfer in a context where the land rights policy has mainly been implemented, but the growth rate of land transfer has slowed. The empirical results demonstrate that increased social trust significantly facilitates the transfer of farmland and increases the probability of a written contract for land transfer being signed. This finding remains robust even when endogeneity issues are taken into account.

The impact of social trust on farmland transfer and contract formalization varies according to the specific dimension under consideration. The results demonstrate that interpersonal trust significantly positively impacts farmland turnout, whereas institutional trust does not exert a notable influence in this context. In contrast with the conclusions of previous studies, which indicated that higher levels of interpersonal trust result in farmers favoring oral contracts, this paper finds that higher levels of social trust increase the probability of farmers signing a written contract for farmland transfer. Further analysis indicates that interpersonal trust does not significantly influence farmers' decisions regarding the choice of transfer-out contracts. Conversely, institutional trust has a discernible positive impact on signing written contracts, thereby facilitating the standardized development of the land transfer market. This suggests that while interpersonal trust remains an important factor in land transfer decisions in modern rural societies, institutional trust is particularly critical to the long-term promotion of a regulated land transfer market, especially in the context of the gradual clarification of property rights and the reconstruction of modern trust mechanisms within rural society.

6.2. Policy Implications

In light of the aforementioned conclusions, the following insights could be derived from this paper regarding policy:

Firstly, grassroots governance mechanisms should be strengthened to increase institutional trust among farmers. Given the central role of village collective leaders in the land transfer process, it is essential to establish transparent decision-making mechanisms, clarify rules and procedures, and improve information disclosure to protect the rights and interests of land transfer participants and reduce the incidence of disputes. Strengthening the capacity of village organizations and cadres will help improve the efficiency of rural governance and enhance farmers' institutional trust in the local governance system, thereby alleviating concerns arising from a lack of trust. Furthermore, the government should enhance its role in facilitating orderly land transfers by formulating policies tailored to the region's specific circumstances and land ownership structure. These policies must

align with the rural revitalization strategy to promote sustainable development in the land transfer market and accelerate rural modernization.

Secondly, it is essential to focus on developing a culture of trust and a trust system in villages. In rural revitalization, social trust represents a crucial link between farmers and collective interests. China is currently engaged in the second phase of a pilot program for land extension [52], which is closely associated with the ongoing reform of the land tenure system. To ensure the seamless implementation of this process, it is crucial to strengthen the mechanisms that connect the interests of the village collective economy and those of farmers and to foster trust within the village community. Cultivating a culture of mutual trust and a sense of responsibility is essential, which can be achieved through various publicity channels and a system of incentive and penalty mechanisms for trustworthiness and breach of trust to enhance contractual awareness and promote the healthy development of the land transfer market. Concurrently, the evolution of the informal system and the reform of the formal system should be synchronized, with due consideration given to both traditional interpersonal trust and institutional trust. Furthermore, the relationship between conventional interpersonal trust and institutional trust should be viewed from a complementary perspective.

Thirdly, incorporating digital technology, a comprehensive land transfer information platform should be established. Leveraging big data, this platform would enhance the transparency and accessibility of land transaction information, thereby reducing information asymmetry and uncertainty in land transfer. A dynamic monitoring system would track transactions in real-time. The platform would reduce transaction costs associated with contract formation by enabling the online signing and management of land leasing contracts. Additionally, the platform should strengthen the coordination between the government, village collectives, and farmers, enhancing the governance and oversight role of village collectives in land transfers, thereby improving market efficiency and ensuring the orderly development of the land transfer market.

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